

CURRENT MARKET PRICE (CMP)	CMP - STRIKE PRICE + PREMIUM = PROFIT/ LOSS	REMARKS
₹110	$₹110 - ₹100 + ₹10 = ₹20$	The seller will make a profit as the option will not be exercised by the buyer.
₹100	$₹100 - ₹100 + ₹10 = ₹10$	The seller will make a profit as the option will not be exercised by the buyer.
₹95	$₹95 - ₹100 + ₹10 = ₹5$	The seller will still be profitable till the time the price is not below the break-even level. However, the profits will reduce.
₹90	$₹90 - ₹100 + ₹10 = ₹0$	The profit or loss is at zero at the break-even level.
₹120	$₹80 - ₹100 + ₹10 = (₹10)$	If the prices continue to fall beyond the break-even level too, the seller will incur losses.
∞		∞

THE LOSSES OF THE PUT SELLER WILL BE UNLIMITED BEYOND BREAK-EVEN POINT I.E. ₹90 LOWER THE PRICE FALLS, HIGHER WILL BE THE LOSS THAT THE PUT OPTION SELLER WILL INCUR.

Now we understand how Payoff charts are calculated, we can use the same to create payoff charts for more complicated options, combination of multiple options and so on. We will need this when we create payoff charts for entire strategies.